Orion Software Inc
Annual Report FY2024

Sector: Enterprise Software. All figures in US dollars. Fiscal year ends 31 March 2024. This is a synthetic document created for an educational capstone project.

Chairman's Letter to Shareholders

Dear shareholders, FY2024 was a year of disciplined execution for Orion Software Inc. Revenue for FY2024 was $1,180.8 million, up 16.5% from $1,013.6 million in FY2023. Net income for FY2024 was $209.7 million and earnings per share were $2.04. The Board has recommended a dividend of $0.81 per share.

Our strategy for the coming year focuses on migrating licence customers to cloud subscriptions and launching an AI analytics add-on. We remain committed to transparent reporting, prudent capital allocation and sustainable long-term value creation.

Management Discussion and Analysis

Gross profit for FY2024 was $844.2 million, giving a gross margin of 71.5%. Operating expenses were $538.4 million and operating income was $305.7 million. EBITDA for FY2024 was $341.5 million.

Net income improved from $151.5 million in FY2023 to $209.7 million in FY2024, a change of 38.4%. Interest expense was $26.0 million, reflecting the level of long-term debt of $416.1 million.

Segment performance: Cloud Subscriptions contributed $345.4 million; Professional Services contributed $282.3 million; On-premise Licences contributed $553.1 million.

Liquidity and Capital Resources

Cash and cash equivalents at year end were $100.1 million. Net cash from operating activities was $248.5 million and capital expenditure was $65.5 million, resulting in free cash flow of $183.0 million. Total current assets were $254.3 million against total current liabilities of $183.7 million.

Total assets were $1,432.7 million, total liabilities were $637.3 million and shareholders' equity was $795.4 million.

Principal Risks and Uncertainties

- A cyber-security incident could damage customer trust and trigger penalties.
- Customer churn may rise if competitors bundle similar features for free.
- Talent shortages may increase engineering salary costs.
- Foreign-exchange movements affect reported revenue from overseas customers.

Outlook

For FY2025, management expects revenue growth of 14% to 22%, supported by migrating licence customers to cloud subscriptions and launching an AI analytics add-on. Guidance assumes stable macroeconomic conditions.

Consolidated Income Statement

Line item ($ million)	FY2024	FY2023
Revenue	1,180.8	1,013.6
Cost of revenue	336.6	281.3
Gross profit	844.2	732.3
Operating expenses	538.4	501.3
Operating income (EBIT)	305.7	231.0
Depreciation & amortisation	35.8	42.7
EBITDA	341.5	273.7
Interest expense	26.0	28.9
Tax expense	69.9	50.5
Net income	209.7	151.5

Consolidated Balance Sheet

Line item ($ million)	FY2024	FY2023
Cash and cash equivalents	100.1	139.9
Total current assets	254.3	371.8
Total assets	1,432.7	1,293.1
Total current liabilities	183.7	197.3
Long-term debt	416.1	392.4
Total liabilities	637.3	623.6
Shareholders' equity	795.4	669.5

Consolidated Cash Flow Statement

Line item ($ million)	FY2024	FY2023
Net cash from operating activities	248.5	199.5
Capital expenditure	65.5	48.9
Free cash flow	183.0	150.6